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US Economic Update: October 26, 2026

Current state of the real economy	
Current state of financial markets	
Current state of inflation	

Atlanta Fed GDP growth forecasts for Q3 2026 (%)	20-Oct-26	16-Oct-26	15-Oct-26	14-Oct-26	13-Oct-26	8-Oct-26
	3.5	3.6	3.6	3.6	3.6	3.6

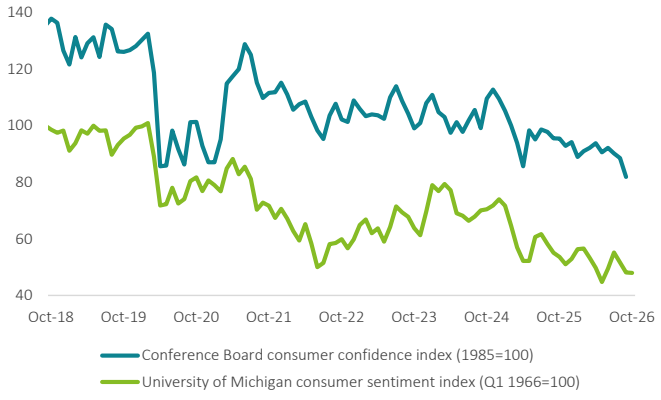
No quick end in sight to the global energy squeeze

- Tensions in the Middle East continue, putting upward pressure on energy prices. Stalemate in the Strait of Hormuz, Iranian attacks on merchant vessels and crude tankers, attacks by Yemen's Houthi rebels on energy and civilian infrastructure in Saudi Arabia, and speculation about a renewed US-Israeli attack on Iran have raised fears that the squeeze on global energy supply chains will likely continue in the near term. Brent crude ended the day at US$116.7 per barrel on October 23, up 6.2% from a week before, and the highest closing price since April 29. Rising energy prices, in turn, have pushed inflation up across the world and have been one of the key drivers of rising bond yields over the past month.
- Housing starts fell 5.2% in September to a seasonally adjusted annual rate of 1.2 million units. Starts for multi-family homes declined 6.7% in September, while single-family starts were down by 4.6%. Starts have fallen by 11.4% so far this year—but with some volatility—and are 32.4% lower than the most recent peak in April 2022. Building permits—an indicator of future housing construction—fell 0.2% in September after declining by 2.1% in the previous month. Permits are 27.2% lower than their most recent peak of January 2022. These trends indicate that new residential construction remains subdued as elevated mortgage rates weigh on affordability and, hence, housing demand in the economy. This is also evident from the broad downward trend in real fixed residential investment since the first quarter of 2024.
- The University of Michigan's consumer sentiment index fell marginally to 48 in October from the previous month. Consumers' assessment of current conditions weakened as high borrowing costs and declining affordability weighed on buying conditions for major household purchases. According to the survey, the one-year-ahead expected inflation rate rose to 4.7% in October from 4.6% in September while the five-year-ahead expected inflation rate also edged up slightly during this period. Both measures are now at the highest level since May. It's worth noting that the University of Michigan's index puts greater emphasis on inflation than the Conference Board's measure, which is influenced more by labor market conditions.
- Initial claims for unemployment insurance fell by 6,000 to 194,000 in the week ending October 17. The four-week moving average of claims fell by 1,000 during this period. Trends in initial claims indicate a relatively stable labor market.

Figure 1. Housing starts and building permits fell again in September, indicating that new residential construction remains subdued



Figure 2. The University of Michigan's consumer sentiment index fell in October as concerns persist about rising cost of living



Sources: Haver Analytics; Deloitte analysis.

For additional information, please reach out to the US Economics team:
Akrur Barua (abarua@deloitte.com), **Ira Kalish** (ikalish@deloitte.com), **Michael Wolf** (miwolf@deloitte.com)

Dashboard of key indicators

Real economy

Total nonfarm payrolls			
Sep change	3-month avg ch	12-month avg ch	Trend
29,000	50,000	41,000	

Unemployment rate			
Sep value (%)	1-month ch (ppts)	3-month ch (ppts)	Trend
4.2	0.1	0.0	

Real disposable personal income			
Aug growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.0	0.6	1.3	

Real personal consumer expenditure			
Aug growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.6	1.0	2.6	

Nominal retail sales			
Sep growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.8	1.7	6.3	

Conference Board consumer confidence index			
Sep value	1-month ch	3-month ch	Trend
81.9	-6.7	-10.3	

Housing permits			
Sep growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
-0.2	1.9	-3.0	

Manufacturing industrial production			
Sep growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.2	0.1	1.1	

Shipments of core capital goods			
Aug growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.5	4.4	11.3	

Trade balance			
Aug value (US$ billion)	1-month ch	3-month ch	Trend
-105.6	-12.7	-29.8	

Real GDP			
Q2 2026 (%, QoQ, SAAR)	Q1 2026	1-year ch (%)	Trend
2.2	2.5	2.2	

Corporate profits			
Q2 2026 (%, QoQ, SAAR)	Q1 2026	1-year ch (%)	Trend
40.5	6.1	20.8	

Financial markets

Equity markets			
S&P 500 on Oct 23	1-week ch (%)	1-year ch (%)	Trend
7623.7	-0.5	12.3	

Treasury yield spread (10 yr - 2 yr)			
Spread on Oct 23	1-month ch(ppts)	3-month ch(ppts)	Trend
0.31	0.06	0.0	

CBOE volatility index (VIX)			
VIX on Oct 23	1-week ch	4-week ch	Trend
19.5	-0.5	3.8	

Kansas City Fed financial stress index (KCFSI)			
Sep index	1-month ch	3-month ch	Trend
-1.0	-0.1	-0.2	

Inflation

Consumer price index (CPI)			
Sep change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.6	1.1	3.7	

Core CPI (CPI excluding food and energy)			
Sep change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.3	0.8	2.6	

Core PCE (PCE price index excluding food and energy)			
Aug change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.2	0.5	3.0	

Philadelphia Fed 10-year ahead inflation expectations			
Q3 2026 (%, YoY)	Q2 2026	Q3 2025	Trend
2.3	2.4	2.3	

Sources: Haver Analytics; Deloitte analysis.